

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.22 ▲ 1.02%	12M Price Target \$4.75	52-Week Range \$3.01 – \$9.39	Market Cap \$2.02B
------	----------------	----------------------------	----------------------------------	-----------------------

BBAI: Panama Win Constructive; Restatement Overhang Caps Re-Rating

WHAT'S CHANGED

- Stock rallied ~10% over four sessions (\$3.84→\$4.22) on heavy volume (peak 65.4M shares 5/22) following Panama cargo security deployment and Zacks backlog-expansion coverage.
- Simply Wall St. flagged ongoing lawsuit and restatement review (5/20), keeping a reporting-quality overhang on the tape despite operational wins.

IMPLICATIONS

No implications to report.

VALUATION

See key data table.

KEY RISKS

- Restatement/lawsuit outcome could force further disclosures, additional dilution, or covenant issues on convertible notes.
- Customer concentration in DoD/DHS exposes revenue to continuing resolution delays and program reprioritization.
- High retail-driven float means sharp drawdowns on any quarterly miss; 9-handle volatility score reflects binary news sensitivity.

RECENT NEWS

BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth? Zacks · 2026-05-25 13:17

Will First Panama Cargo Security Deal Mark a Turning Point in BigBear.ai's (BBAI) Global E... Simply Wall St. · 2026-05-22 14:09

Why BigBear.ai (BBAI) Is Still a Defense-AI Battleground Insider Monkey · 2026-05-22 07:18

BigBear.ai Lands Panama Deployment: Is Trade Security Scaling Up? Zacks · 2026-05-21 15:41

SERV's Moxi Bet Broadens: Can Healthcare Add Recurring Revenues? Zacks · 2026-05-20 14:59

Key Data

Price (USD)	\$4.22
12M Price Target	\$4.75
Upside / (Downside)	+12.6%
Market Cap	\$2.02B
FY2026E Revenue	\$195M
FY2027E Revenue	\$240M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.25	\$4.40	\$3.40
6 Months	\$6.50	\$4.75	\$3.10
1 Year	\$8.00	\$5.25	\$2.75
2 Years	\$11.00	\$6.50	\$2.25
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+5.79% 5D), Utilities (+3.63% 5D)

COLD SECTORS: Financials (+0.38% 5D), Real Estate

ROTATION WATCH: Risk-on rotation into Tech is lifting AI-adjacent small caps; if rates ease further, expect continued bid in unprofitable AI names but with high dispersion based on fundamental quality.

BYPRODUCT PLAY: Border security and trade-corridor AI demand also benefits identity/biometrics vendors (CLEAR, IDN) and edge-compute defense primes; Panama deal validates LATAM as an underpenetrated TAM for U.S. govtech exporters.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Trading near highs on government and commercial AIP traction; commands ~22x EV/Sales as the defense-AI benchmark.
- AI (C3.ai): Recent federal contract momentum lifting multiple despite similar profitability concerns to BBAI.

BBAI CONTEXT: BBAI is lagging the defense-AI cohort meaningfully — at 19% of its 52-week range while PLTR and peers trade near highs, the relative underperformance reflects company-specific reporting/dilution overhangs rather than sector weakness. A catch-up trade is possible but requires a clean catalyst.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — Genuine contract momentum and discounted multiple are offset by restatement overhang, persistent losses, and binary headline risk.

POSITION SIZE: 0.5-1.5% in a speculative/thematic sleeve; volatility score of 9 precludes core sizing.

ENTRY POINTS: Accumulate \$3.30-\$3.70 on volatility flushes; avoid chasing above \$4.50 absent restatement resolution or guidance raise.

TIME HORIZON: 12-18 months, with 2Q26 print and any 8-K restatement closure as the key catalyst windows.

THESIS INVALIDATION: FY26 revenue tracking <\$170M, dilutive raise below \$4, or adverse legal disclosure materially impacting reported backlog.

HEDGING: Pair long BBAI vs. short PLTR (multiple convergence trade) or buy 6-month \$3 puts to cap tail risk on restatement outcome.